



Student Number:.....

## PENRITH SELECTIVE HIGH SCHOOL

2020 Trial Higher School Certificate Examination

## BUSINESS STUDIES

### General Instructions

- Reading time – 5 minutes
- Working time – 3 hours
- Write using black pen
- Draw diagrams using pencil
- Calculators approved by NESA may be used

**Total marks: 100**

| <b>RESULTS SUMMARY</b><br><i>(for examiner use only)</i> |      |
|----------------------------------------------------------|------|
| Section I                                                | /20  |
| Section II                                               | /40  |
| Section III                                              | /20  |
| Section IV                                               | /20  |
| TOTAL (%)                                                | /100 |

### Section 1 – 20 marks (pages 2 – 7)

- Attempt Questions 1 – 20
- Allow about 35 minutes for this section

### Section II – 40 marks (pages 8 – 14)

- Attempt Questions 21 – 24
- Allow about 1 hour and 15 minutes for this section

### Section III – 20 marks (page 15)

- Attempt Question 25
- Allow about 35 minutes for this section

### Section IV – 20 marks (page 16)

- Attempt either Question 26 or Question 27
- Allow about 35 minutes for this section

## Section I

(20 marks)

Attempt questions 1 -20

Allow about 35 minutes for this section

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1. Which key business function is responsible for creating, communicating and delivering value to customers?
  - A. Operations
  - B. Finance
  - C. Marketing
  - D. Human Resources
  
2. Which process of human resource management involves preparing a written statement about an employee's duties, tasks and responsibilities associated with a job?
  - A. Acquisition
  - B. Development
  - C. Maintenance
  - D. Separation
  
3. Which of the following are transforming resources for a business that installs below ground backyard swimming pools?
  - A. Water and chlorine chemicals
  - B. An excavating (digging) machine and its driver/operator
  - C. A design blueprint and a warranty
  - D. A pool filter and spa jets
  
4. A children's toy store decides to increase inventory levels in preparation for the Christmas sales period. Which source of finance should be used to acquire the new inventory?
  - A. Accounts payable
  - B. Accounts receivable
  - C. Mortgage
  - D. Debentures
  
5. Which of the following would be used to evaluate the solvency of a business?
  - A. Gross profit ratio
  - B. Accounts receivable turnover ratio
  - C. Return on equity ratio
  - D. Debt to equity ratio

6. What type of performance management is focused on collecting data to improve the functioning of human resource management within a business?
- A. Job analysis
  - B. Developmental performance management
  - C. Administrative performance management
  - D. Exit surveys

Use the following table of data to answer question 7

| Selected financial data for Frozen Freight Services Pty Ltd |               |               |
|-------------------------------------------------------------|---------------|---------------|
|                                                             | 2018          | 2019          |
| Expense ratio (Total Expenses ÷ Sales)                      | 30%           | 35%           |
| Accounts receivable turnover (number of days)               | 28            | 35            |
| Yearly Sales revenue                                        | \$ 11 500 000 | \$ 13 000 000 |
| Gross profit ratio (Gross profit ÷ Sales)                   | 50%           | 50%           |

7. Based on the information in the table of data, which of the following statements are BOTH true?

|    | Statement 1                                                              | Statement 2                                                                                          |
|----|--------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------|
| A. | The dollar value of Gross profit in 2018 was \$7 500 000                 | The efficiency of debt collection improved at Frozen Freight Services Pty Ltd between 2018 and 2019  |
| B. | The net profit ratio for this business in 2018 was 15%                   | The costs of goods sold decreased between 2018 and 2019                                              |
| C. | The dollar value of costs of goods sold in 2018 was \$5 750 000          | The efficiency of debt collection decreased at Frozen Freight Services Pty Ltd between 2018 and 2019 |
| D. | The dollar value of net profit for this business in 2019 was \$2 300 000 | The net profit ratio for this business in 2019 was 20%                                               |

8. An employee at a fast food restaurant works irregular hours, receives a loading (extra pay) per hour worked and does not receive sick or holiday pay.

How would this employee be classified?

- A. Part time
  - B. Permanent
  - C. Independent contractor
  - D. Casual
9. What is the name of the institution that is responsible for protecting consumer rights and regulating business practices in Australia?
- A. Fair Work Commission (FWC)
  - B. Australian Council of Trade Unions (ACTU)
  - C. Australian Securities and Investment Commission (ASIC)
  - D. Australian Competition and Consumer Commission (ACCC)

10. In which type of market would a restaurant manager buy uniforms for staff to wear whilst serving customers?

- A. Consumer
- B. Resource
- C. Intermediate
- D. Industrial

11. A business that manufactures furniture develops new technology that enables it to expand output by 90% and reduce lead times by 50%.

Which influence on the transformation approach best describes this approach?

- A. Volume
- B. Variety
- C. Variation in demand
- D. Visibility

12. Which of the following best describes a sociocultural influence on customer choice?

- A. A parent who chooses low fat breakfast cereals to improve the health of a child
- B. A person who purchases a luxury foreign sports car after the government reduces tax on imported vehicles
- C. A person who buys a tattoo because it makes them look tough
- D. A person buys generic no-name groceries after losing their job

13. A manager of a shoe store decides to terminate the employment of a staff member immediately after he was caught on video camera stealing money from a customer's handbag.

Which term best describes this type of employee separation?

- A. Retrenchment
- B. Redundancy
- C. Unfair dismissal
- D. Summary dismissal

14. In response to a direction to cut costs and improve efficiency, a manager decides to recognise staff who have excelled by implementing an "employee of the month" award where the recipient is mentioned in the staff newsletter and has their photo placed on the staff noticeboard.

This demonstrates the interdependence between which business functions?

- A. Operations and marketing
- B. Marketing and finance
- C. Human resources and marketing
- D. Finance and human resources

15. A bakery produces organic bread that is sold in health food stores. Which is the most appropriate channel choice for this business?
- Exclusive
  - Extensive
  - Intensive
  - Selective
16. What is the common sequence for resolving workplace disputes?
- Mediation, negotiation, involvement of courts and tribunals
  - Negotiation, mediation, involvement of courts and tribunals
  - Involvement of courts and tribunals, negotiation, mediation
  - Negotiation, involvement of courts and tribunals, mediation

Use the following diagram to answer question 17

A Gantt Chart for Penrith Chocolate Shop

|                             | <i>Jan</i> | <i>Feb</i> | <i>March</i> | <i>April</i> | <i>May</i> | <i>June</i> |
|-----------------------------|------------|------------|--------------|--------------|------------|-------------|
| Obtain lease and refit shop |            |            |              |              |            |             |
| Purchase stock              |            |            |              |              |            |             |
| Select and train staff      |            |            |              |              |            |             |
| Advertising campaign        |            |            |              |              |            |             |
| Commence trading            |            |            |              |              |            |             |

17. Based on the information in the Gantt chart, which of the following statements is true?
- Selection and training of staff will begin May
  - The shop will be open for business at the end of April
  - Stock purchases and advertising will occur simultaneously
  - Some stock will be purchased before the shop is completely refitted
18. Which of the following are BOTH quantitative indicators of the effectiveness of human resource management?
- Staff turnover and corporate culture
  - Absenteeism and staff turnover
  - Worker satisfaction and benchmarking key variables
  - Worker satisfaction and corporate culture

Use the following data table to answer questions 19 and 20

| Financial data for Penrith Building & Construction Pty Ltd<br>As at June 30th, 2019 |         |                                |         |
|-------------------------------------------------------------------------------------|---------|--------------------------------|---------|
| Assets                                                                              | \$      | Liabilities                    | \$      |
| <b>Current Assets</b>                                                               |         | <b>Current Liabilities</b>     |         |
| Cash                                                                                | 20 000  | Overdraft                      | 45 000  |
| Inventory                                                                           | 65 000  | Accounts Payable               | 145 000 |
| Accounts Receivables                                                                | 110 000 |                                |         |
|                                                                                     |         |                                |         |
| <b>Non-Current Assets</b>                                                           |         | <b>Non-Current Liabilities</b> |         |
| Equipment                                                                           | 30 000  | Mortgage                       | 140 000 |
| Vehicles                                                                            | 45 000  |                                |         |
| Goodwill                                                                            | 55 000  | <b>Owner's Equity</b>          |         |
| Buildings                                                                           | 250 000 | Retained Profit                | 120 000 |
|                                                                                     |         | Capital                        | 125 000 |
|                                                                                     |         |                                |         |
| TOTAL                                                                               | 575 000 | TOTAL                          | 575 000 |
| <b>Financial ratios</b>                                                             |         | <b>Industry Averages</b>       |         |
| Liquidity - current ratio (current assets / current liabilities)                    |         | Gearing ratio 60%              |         |
| Gearing - Debt to equity ratio (total liabilities / total equity)                   |         | Liquidity ratio 3:1            |         |

19. What is the value of working capital in this business?

- A. \$ 0
- B. \$ 145 000
- C. \$ 195 000
- D. \$ 255 000

20. Based on the information in the table of financial data, which of the following statements are BOTH true?

|    | Statement 1                                                               | Statement 2                                                             |
|----|---------------------------------------------------------------------------|-------------------------------------------------------------------------|
| A. | The liquidity ratio for this business is better than the industry average | The gearing ratio for this business is better than the industry average |
| B. | The liquidity ratio for this business is worse than the industry average  | The gearing ratio for this business is better than the industry average |
| C. | The liquidity ratio for this business is better than the industry average | The gearing ratio for this business is worse than the industry average  |
| D. | The liquidity ratio for this business is worse than the industry average  | The gearing ratio for this business is worse than the industry average  |

## Section II

(40 marks)

Attempt questions 21 -24

Allow about 1 hour and 15 minutes for this section

Answer the questions in the spaces provided.

These spaces provide guidance as to the expected length of responses.

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Fabulous Fashion Pty Ltd is a retail shop that specialises in selling clothing for women. During the past year, the business experienced negative publicity in connection with customer complaints about poor service. As a result of these issues, the business did not achieve its forecasted financial objectives. The owners have instructed management to increase market share by 10% in the next six months.

### Question 21 (10 marks)

(a) Outline TWO types of markets in which this business would operate.

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(b) Recommend ONE marketing strategy this business could use to achieve its marketing objective.

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Question 21 continues on the next page

**Question 21** continued

- (c) Explain how TWO consumer laws could affect the marketing activities of this business in Australia.

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**Question 22** (10 marks)

The management of a highly successful Australian mining company, Fabulous Minerals Ltd, is examining alternative sources of \$250 million in finance to open a new iron ore mine in a remote location in Western Australia. The demand for iron ore in world markets has fluctuated significantly in the past decade which has resulted in high volatility in iron ore prices. In the past 3 years the debt to equity ratio for this business has increased from 25% to 80% and is now 4 times larger than the industry average.

- a) Distinguish between primary and secondary markets in the Australian Securities Exchange (ASX).

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- b) Describe the role of the Australian Securities Exchange (ASX) in financial markets.

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**Question 22 continues on the next page**

**Question 22** continued

- c) Explain TWO disadvantages associated with obtaining finance through the Australian Securities Exchange.

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**Question 23** (10 marks)

(a) Discuss the influence of government in determining employment contracts in Australia.

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**Question 23 continues on the next page**

**Question 23** continued

(b) With reference to a specific case study, analyse how a business has responded to social influences on human resource management.

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[illegible]

**Question 24** (10 marks)

Precision Engineering Ltd manufactures diesel engines in Australia for both domestic and international markets. To comply with new environmental regulations imposed by the Federal government, management estimate that they will need at least \$5 million in new finance to upgrade the technology used in its factory.

- (a) Identify TWO ways that government policy could affect operations management in this business.

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- (b) Explain why environmental sustainability is a key concern of operations management.

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**Question 24 continues on the next page**

**Question 24** continued

(c) Assess THREE reasons why change may be resisted in this business.

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### Section III

(20 marks)

Attempt question 25

Allow about 35 minutes for this section.

Answer the question in the separate writing booklet provided

Extra writing booklets are available

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In your answer you will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
  - apply the hypothetical business situation
  - communicate using relevant business terminology and concepts
  - present a sustained, logical and cohesive response in the form of a business report
- 

#### Question 25 (20 marks)

Fabulous Couriers Pty Ltd specialises in delivering parcels throughout the Sydney metropolitan area. As part of its marketing, the business guarantees that if customers can find a lower priced competitor, they will beat it by 10%.

Fabulous Couriers Pty Ltd has recently experienced a dramatic growth in demand for its services but courier drivers have complained that:

- they are regularly underpaid and often receive inaccurate payslips
- a new software program is causing delays by sending drivers to the wrong address
- some delivery trucks are not being serviced regularly, break down frequently and are dangerous to drive
- drivers' lose pay if they do not achieve monthly performance targets established by management
- managers have consistently downplayed or ignored driver complaints

Management are concerned about how possible limitations of financial reporting could affect the business' ability to source debt and/or equity finance for upgrading their fleet of delivery trucks. Management are also seeking advice about how to address driver concerns without increasing costs.

You have been employed to write a business report for the management of Fabulous Couriers Pty Ltd. In your report you should:

- Outline two limitations of financial reporting
- Explain why understanding the difference between legal compliance and ethical responsibility is essential to marketing management
- Recommend operations and human resource strategies management can use to improve business performance

## **Section IV**

(20 marks)

Attempt question 26 or question 27

Allow about 35 minutes for this section.

Answer the question in the separate writing booklet provided

Extra writing booklets are available

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In your answer you will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
  - apply relevant case study/studies and contemporary business issues
  - communicate using relevant business terminology and concepts
  - present a sustained, logical and cohesive response
- 

### **Question 26** (20 marks)

Analyse the causes of a workplace dispute and evaluate the strategies used to resolve it.

**OR**

### **Question 27** (20 marks)

Evaluate the importance of human resource strategies in resolving problems with business performance.



Student number: .....

## Section I - Multiple Choice Answer Sheet

### General Instructions

Choose the *MOST* correct answer A, B, C, or D by filling in the response circle completely.  
Attempt all questions.

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| Question | A                     | B                     | C                     | D                     |
|----------|-----------------------|-----------------------|-----------------------|-----------------------|
| 1        | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> |
| 2        | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> |
| 3        | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> |
| 4        | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> |
| 5        | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> |
| 6        | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> |
| 7        | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> |
| 8        | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> |
| 9        | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> |
| 10       | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> |
| 11       | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> |
| 12       | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> |
| 13       | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> |
| 14       | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> |
| 15       | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> |
| 16       | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> |
| 17       | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> |
| 18       | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> |
| 19       | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> |
| 20       | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> | <input type="radio"/> |

**HSC Business Studies**  
**2020 Trial HSC Marking Guidelines**

## Section I

### Multiple Choice Answers

|                 |          |          |          |          |          |          |          |          |          |           |           |           |           |           |           |           |           |           |           |           |
|-----------------|----------|----------|----------|----------|----------|----------|----------|----------|----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|
| <b>Question</b> | <i>1</i> | <i>2</i> | <i>3</i> | <i>4</i> | <i>5</i> | <i>6</i> | <i>7</i> | <i>8</i> | <i>9</i> | <i>10</i> | <i>11</i> | <i>12</i> | <i>13</i> | <i>14</i> | <i>15</i> | <i>16</i> | <i>17</i> | <i>18</i> | <i>19</i> | <i>20</i> |
| <b>Answer</b>   | C        | A        | B        | A        | D        | C        | C        | D        | D        | D         | A         | A         | D         | C         | C/D       | B         | D         | B         | C         | D         |

## Section II

### 40 marks

Fabulous Fashion Pty Ltd is a retail shop that specialises in selling clothing for women. During the past year, the business experienced negative publicity in connection with customer complaints about poor service. As a result of these issues, the business did not achieve its forecasted financial objectives. The owners have instructed management to increase market share by 10% in the next six months.

#### Question 21 (10 marks)

(a) Outline TWO types of markets in which this business would operate.

| Criteria                                                                                                                                                                                                                                              | Mark     |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| <ul style="list-style-type: none"> <li>Sketches in general TWO specific types of markets in which Fabulous Fashion Pty Ltd would operate AND</li> <li>Use relevant business terminology and syllabus concepts with skill and understanding</li> </ul> | <b>3</b> |
| <ul style="list-style-type: none"> <li>Sketches in general ONE specific type of market in which Fabulous Fashion Pty Ltd would operate and identifies another OR</li> <li>Recognises and names TWO types of market</li> </ul>                         | <b>2</b> |
| <ul style="list-style-type: none"> <li>Makes a basic statement about a type of market</li> </ul>                                                                                                                                                      | <b>1</b> |
| <ul style="list-style-type: none"> <li>No response or factually incorrect response</li> </ul>                                                                                                                                                         | <b>0</b> |

(b) Recommend ONE marketing strategy this business could use to achieve its marketing objective.

| Criteria                                                                                                                                                                                   | Mark     |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| <ul style="list-style-type: none"> <li>Provides relevant reason(s) in favour of ONE specific marketing strategy Fabulous Fashion Pty Ltd could use to increase its market share</li> </ul> | <b>3</b> |
| <ul style="list-style-type: none"> <li>Provides detailed information about how marketing strategy could be used to increase market share (in general)</li> </ul>                           | <b>2</b> |
| <ul style="list-style-type: none"> <li>Makes a basic statement about marketing strategy and/or increasing market share</li> </ul>                                                          | <b>1</b> |
| <ul style="list-style-type: none"> <li>No response or factually incorrect response</li> </ul>                                                                                              | <b>0</b> |

- (c) Explain how TWO consumer laws could affect the marketing activities of this business in Australia.

| Criteria                                                                                                                                                                                                                                                           | Mark     |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| <ul style="list-style-type: none"> <li>Makes clearly evident how specific consumer laws affect specific aspects of marketing in Fabulous Fashion Pty Ltd</li> <li>Uses relevant business terminology and syllabus concepts with skill and understanding</li> </ul> | <b>4</b> |
| <ul style="list-style-type: none"> <li>Provides accurate and detailed information about the effect of consumer law marketing activities (in general)</li> <li>Uses some appropriate business terminology</li> </ul>                                                | <b>3</b> |
| <ul style="list-style-type: none"> <li>Provides some general information about consumer law and its effect on marketing activities</li> </ul>                                                                                                                      | <b>2</b> |
| <ul style="list-style-type: none"> <li>Makes a limited statement about consumer law and/or marketing activities</li> </ul>                                                                                                                                         | <b>1</b> |
| <ul style="list-style-type: none"> <li>No response or factually incorrect response</li> </ul>                                                                                                                                                                      | <b>0</b> |

**Question 22** (10 marks)

The management of a highly successful Australian mining company, Fabulous Minerals Ltd, is examining alternative sources of \$250 million in finance to open a new iron ore mine in a remote location in Western Australia. The demand for iron ore in world markets has fluctuated significantly in the past decade which has resulted in high volatility in iron ore prices. In the past 3 years the debt to equity ratio for this business has increased from 25% to 80% and is now 4 times larger than the industry average.

- a) Distinguish between primary and secondary markets in the Australian Securities Exchange (ASX).

| Criteria                                                                                                                          | Mark     |
|-----------------------------------------------------------------------------------------------------------------------------------|----------|
| <ul style="list-style-type: none"> <li>Makes the difference clear between the primary and secondary markets in the ASX</li> </ul> | <b>2</b> |
| <ul style="list-style-type: none"> <li>Provides general information about the ASX</li> </ul>                                      | <b>1</b> |
| <ul style="list-style-type: none"> <li>No response or factually incorrect response</li> </ul>                                     | <b>0</b> |

- b) Describe the role of the Australian Securities Exchange (ASX) in financial markets.

| Criteria                                                                                                                                                                                                                                    | Mark     |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| <ul style="list-style-type: none"> <li>Provides detailed characteristics and features of the role of the ASX in financial markets</li> <li>Uses relevant business terminology and syllabus concepts with skill and understanding</li> </ul> | <b>4</b> |
| <ul style="list-style-type: none"> <li>Provides general information about the role of the ASX in financial markets</li> <li>Uses some appropriate business terms</li> </ul>                                                                 | <b>3</b> |
| <ul style="list-style-type: none"> <li>Makes basic statements about the ASX and/or its role</li> </ul>                                                                                                                                      | <b>2</b> |
| <ul style="list-style-type: none"> <li>Makes a limited statement about the ASX</li> </ul>                                                                                                                                                   | <b>1</b> |
| <ul style="list-style-type: none"> <li>No response or factually incorrect response</li> </ul>                                                                                                                                               | <b>0</b> |

- c) Explain TWO disadvantages associated with obtaining finance through the Australian Securities Exchange.

| Criteria                                                                                                                                                                                                                                                       | Mark |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| <ul style="list-style-type: none"> <li>▪ Makes evident (with detailed elaboration) TWO specific disadvantages of obtaining finance through the ASX</li> <li>▪ Uses relevant business terminology and syllabus concepts with skill and understanding</li> </ul> | 4    |
| <ul style="list-style-type: none"> <li>▪ Makes evident ONE specific disadvantage of obtaining finance through the ASX AND recognises and names another disadvantage</li> <li>▪ Uses some appropriate business terminology</li> </ul>                           | 3    |
| <ul style="list-style-type: none"> <li>▪ Makes evident ONE specific disadvantage of obtaining finance through the ASX OR</li> <li>▪ Identifies TWO disadvantages (with insufficient elaboration)</li> </ul>                                                    | 2    |
| <ul style="list-style-type: none"> <li>▪ Makes a limited statement about a disadvantage of obtaining finance through the ASX</li> </ul>                                                                                                                        | 1    |
| <ul style="list-style-type: none"> <li>▪ No response or factually incorrect response</li> </ul>                                                                                                                                                                | 0    |

**Question 23** (10 marks)

- (a) Discuss the influence of government in determining employment contracts in Australia.

| Criteria                                                                                                                                                                                                                                                                                     | Mark |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| <ul style="list-style-type: none"> <li>▪ Identifies an issue and provides points for and/or against the influence of government in determining employment contracts in Australia</li> <li>▪ Uses relevant business terminology and syllabus concepts with skill and understanding</li> </ul> | 4    |
| <ul style="list-style-type: none"> <li>▪ Provides accurate, relevant and detailed information about the influence of government in determining employment contracts in Australia</li> <li>▪ Uses some appropriate business terminology</li> </ul>                                            | 3    |
| <ul style="list-style-type: none"> <li>▪ Provides general information about the influence of government on employment contracts in Australia</li> </ul>                                                                                                                                      | 2    |
| <ul style="list-style-type: none"> <li>▪ Makes a limited statement about the influence of government on employment contracts</li> </ul>                                                                                                                                                      | 1    |
| <ul style="list-style-type: none"> <li>▪ No response or factually incorrect response</li> </ul>                                                                                                                                                                                              | 0    |

- (b) With reference to a specific case study, analyse how a business has responded to social influences on human resource management.

| Criteria                                                                                                                                                                                                                                                                                     | Mark |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| <ul style="list-style-type: none"> <li>▪ Draws out and relates the implications of a specific business' response to a specific social influence(s) on human resources management</li> <li>▪ Uses relevant business terminology and syllabus concepts with skill and understanding</li> </ul> | 5-6  |
| <ul style="list-style-type: none"> <li>▪ Provides detailed information about a business response to a specific social influence on human resource management</li> <li>▪ Uses some appropriate business terminology</li> </ul>                                                                | 3-4  |
| <ul style="list-style-type: none"> <li>▪ Provides general information about a social influence on human resource management and/or a business' response to social influences in general</li> </ul>                                                                                           | 1-2  |
| <ul style="list-style-type: none"> <li>▪ No response or factually incorrect response</li> </ul>                                                                                                                                                                                              | 0    |

**Question 24** (10 marks)

Precision Engineering Ltd manufactures diesel engines in Australia for both domestic and international markets. To comply with new environmental regulations imposed by the Federal government, management estimate that they will need at least \$5 million in new finance to upgrade the technology used in its factory.

- (a) Identify TWO ways that government policy could affect operations management in this business.

| Criteria                                                                                                               | Mark |
|------------------------------------------------------------------------------------------------------------------------|------|
| ▪ Recognises and names TWO ways that government policy could affect operations management in Precision Engineering Ltd | 2    |
| ▪ Recognises and names ONE way that government policy could affect operations management (in general)                  | 1    |
| ▪ No response or factually incorrect response                                                                          | 0    |

- (b) Explain why environmental sustainability is a key concern of operations management.

| Criteria                                                                                                                                                                                                                      | Mark |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| ▪ Makes evident why environmental sustainability is a key concern of operations management<br>▪ Uses relevant business terminology and syllabus concepts with skill and understanding<br>▪ May make reference to the stimulus | 3    |
| ▪ Provides general information about why environmental sustainability is a concern of operations management                                                                                                                   | 2    |
| ▪ Makes a limited statement about environmental sustainability and/or operations management                                                                                                                                   | 1    |
| ▪ No response or factually incorrect response                                                                                                                                                                                 | 0    |

- (c) Assess THREE reasons why change may be resisted in this business.

| Criteria                                                                                                                                                                                                                                 | Mark |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|
| ▪ Makes an informed judgment about THREE reasons why change may be resisted at Precision Engineering Ltd<br>▪ Uses relevant business terminology and syllabus concepts with skill and understanding<br>▪ Makes reference to the stimulus | 5    |
| ▪ Provides detailed information about THREE reasons why change may resisted<br>▪ Uses some relevant business terminology or syllabus concepts<br>▪ May make reference to the stimulus                                                    | 4    |
| ▪ Provides general information about at least TWO reasons why change may be resisted<br>▪ Uses some appropriate business terminology                                                                                                     | 3    |
| ▪ Provides general information about ONE reason why change may be resisted OR<br>▪ Identifies at least TWO reasons why change may be resisted                                                                                            | 2    |
| ▪ Identifies ONE reason or makes a limited statement about why change may be resisted                                                                                                                                                    | 1    |
| ▪ No response or factually incorrect response                                                                                                                                                                                            | 0    |

### Section III

(20 marks)

**Attempt Question 25**

**Allow about 35 minutes for this section**

Answer the questions in a separate writing booklet. Extra writing booklets are available.

---

In your answer you will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
  - apply the hypothetical business situation
  - communicate using relevant business terminology and concepts
  - present a sustained, logical and cohesive response in the form of a business report
- 

#### **Question 25 (20 marks)**

Fabulous Couriers Pty Ltd specialises in delivering parcels throughout the Sydney metropolitan area. As part of its marketing, the business guarantees that if customers can find a lower priced competitor, they will beat it by 10%.

Fabulous Couriers Pty Ltd has recently experienced a dramatic growth in demand for its services but courier drivers have complained that:

- they are regularly underpaid and often receive inaccurate payslips
- a new software program is causing delays by sending drivers to the wrong address
- some delivery trucks are not being serviced regularly, break down frequently and are dangerous to drive
- drivers' lose pay if they do not achieve monthly performance targets established by management
- managers have consistently downplayed or ignored driver complaints

Management are concerned about how possible limitations of financial reporting could affect the business' ability to source debt and/or equity finance for upgrading their fleet of delivery trucks. Management are also seeking advice about how to address driver concerns without increasing costs.

You have been employed to write a business report for the management of Fabulous Couriers Pty Ltd. In your report you should:

- Outline two limitations of financial reporting
- Explain why understanding the difference between legal compliance and ethical responsibility is essential to marketing management
- Recommend operations and human resource strategies management can use to improve business performance

You have been employed to write a business report for the management of Fabulous Couriers Pty Ltd. In your report you should:

- Outline two limitations of financial reporting
- Explain why understanding the difference between legal compliance and ethical responsibility is essential to marketing management
- Recommend operations and human resource strategies management can use to improve business performance

| Marking Criteria                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Mark  |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------|
| <ul style="list-style-type: none"> <li>▪ Presents a sustained, logical and cohesive business report integrating relevant business terminology and syllabus concepts with skill and understanding AND</li> <li>▪ Makes effective use of the information provided, demonstrating extensive knowledge and understanding relevant to the question AND</li> <li>▪ Sketches in general detail two limitations of financial reporting AND</li> <li>▪ Makes evident why understanding the difference between legal compliance and ethical responsibility is essential to marketing management AND</li> <li>▪ Provides reasons in favour of relevant operations and human resource strategies AND shows how these strategies will improve specific aspects of Fabulous Couriers Pty Ltd.'s performance</li> </ul> | 17-20 |
| <ul style="list-style-type: none"> <li>▪ Presents a logical and cohesive business report that uses relevant business terminology and syllabus concepts</li> <li>▪ Makes some use of the information provided, demonstrating knowledge and understanding of the question</li> <li>▪ Provides accurate information about limitations of financial reporting AND</li> <li>▪ Provides detailed information about the differences between legal compliance and ethical responsibility in marketing management</li> <li>▪ Provides detailed information about how and/or why operations and human resources strategies can improve business performance</li> </ul>                                                                                                                                             | 13-16 |
| <ul style="list-style-type: none"> <li>▪ Includes features of a business report and uses some business terminology and concepts</li> <li>▪ Makes limited reference to the information provided AND/OR</li> <li>▪ Makes general statements about limitations of financial reporting AND/OR</li> <li>▪ Provides some general information about environmental sustainability and operations AND/OR</li> <li>▪ Provides some general information about operations and/or human resource management</li> </ul>                                                                                                                                                                                                                                                                                                | 9-12  |
| <ul style="list-style-type: none"> <li>▪ Includes some features of a business report and uses basic business terminology</li> <li>▪ Sketches in general terms some aspects of operations and/or human resources management</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 5-8   |
| <ul style="list-style-type: none"> <li>▪ Uses basic business terminology</li> <li>▪ May make a limited statement about operations and/or human resources management and/or marketing</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 1-4   |

You have been employed to write a business report for the management of Fabulous Couriers Pty Ltd. In your report you should:

- Outline two limitations of financial reporting
- Explain why understanding the difference between legal compliance and ethical responsibility is essential to marketing management
- Recommend operations and human resource strategies management can use to improve business performance

| Writing focus – executive summary |                                                                                                                            |
|-----------------------------------|----------------------------------------------------------------------------------------------------------------------------|
| A0                                | Executive summary has effective title                                                                                      |
| A1                                | Executive summary identifies its purpose(s), for whom it was written and the benefit that can be obtained from reading it  |
| A2                                | Executive summary has explicit reference to case study/studies                                                             |
| A3                                | Executive summary makes direct reference to each part of question (judgment/HR management/external influences)             |
| A4                                | Executive summary reveals contents of response effectively                                                                 |
| A5                                | Executive summary clearly identifies the argument to be sustained or the conclusion that will be justified in the response |



## Section IV

**40 marks**

**Attempt either Question 27 or Question 28**

**Allow about 35 minutes for this section**

Answer the questions in a separate writing booklet. Extra writing booklets are available.

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In your answer you will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
  - apply relevant business case study/studies and contemporary business issues
  - communicate using relevant business terminology and concepts
  - present a sustained, logical and cohesive response
- 

### **Question 26 (20 marks)**

Analyse the causes of a workplace dispute and evaluate the strategies used to resolve it.

| <b>Criteria</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                  | <b>Mark</b>  |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|
| <ul style="list-style-type: none"><li>▪ Presents a sustained, logical and cohesive response that communicates relevant business terminology and syllabus concepts with skill and understanding</li><li>▪ Provides a clear, detailed and comprehensive analysis of the causes of a workplace dispute and the strategies used to resolve it.</li><li>▪ Applies relevant case study/studies and contemporary business issues with skill and understanding</li></ul> | <b>17-20</b> |
| <ul style="list-style-type: none"><li>▪ Presents a logical and cohesive business report that uses relevant business terminology and syllabus concepts</li><li>▪ Provides detailed, relevant and accurate information about the causes of a workplace dispute and the strategies used to resolve it</li><li>▪ Uses relevant case study/studies and contemporary business issues</li></ul>                                                                         | <b>13-16</b> |
| <ul style="list-style-type: none"><li>▪ Communicates using business terminology and concepts</li><li>▪ Provides characteristics and features of the causes of a workplace dispute and the strategies used to resolve the dispute.</li><li>▪ May make some reference to case study/studies and contemporary business issues</li></ul>                                                                                                                             | <b>9-12</b>  |
| <ul style="list-style-type: none"><li>▪ Communicates using some business terminology and concepts</li><li>▪ Sketches in general terms the causes of a workplace dispute and the strategies used to resolve the dispute.</li><li>▪ May make limited reference to case study/studies and contemporary business issues</li></ul>                                                                                                                                    | <b>5-8</b>   |
| <ul style="list-style-type: none"><li>▪ Uses basic business terminology</li><li>▪ Makes a limited statement about a workplace disputes and/or its causes and/or strategies used to resolve it</li></ul>                                                                                                                                                                                                                                                          | <b>1-4</b>   |

**Question 26** (20 marks)

Analyse the causes of a workplace dispute and evaluate the strategies used to resolve it.

| <b>Writing focus – executive summary</b> |                                                                                                                            |
|------------------------------------------|----------------------------------------------------------------------------------------------------------------------------|
| A0                                       | Executive summary has effective title                                                                                      |
| A1                                       | Executive summary identifies its purpose(s), for whom it was written and the benefit that can be obtained from reading it  |
| A2                                       | Executive summary has explicit reference to case study/studies                                                             |
| A3                                       | Executive summary makes direct reference to each part of question (judgment/HR management/external influences)             |
| A4                                       | Executive summary reveals contents of response effectively                                                                 |
| A5                                       | Executive summary clearly identifies the argument to be sustained or the conclusion that will be justified in the response |

| <b>▪ Skill focus - case study usage</b> |                                                                              |
|-----------------------------------------|------------------------------------------------------------------------------|
| B4                                      | Makes reference to case study but without sufficient elaboration             |
| B5                                      | Applies case study to show business concepts in practise                     |
| B6                                      | Integrates case study example to sustain an argument or justify a conclusion |

| <b>▪ Content focus – draws out and relates implications of causes of dispute</b> |                                                                 |
|----------------------------------------------------------------------------------|-----------------------------------------------------------------|
| C4                                                                               | Makes basic reference to the causes of a dispute                |
| C5                                                                               | Provides detailed information about the causes of dispute       |
| C6                                                                               | Draws out and relates implication(s) of the causes of a dispute |

| <b>▪ Content focus – draws out and relates implications of dispute resolution strategies</b> |                                                                         |
|----------------------------------------------------------------------------------------------|-------------------------------------------------------------------------|
| D4                                                                                           | Makes basic reference to dispute resolution strategy                    |
| D5                                                                                           | Provides detailed information about dispute resolution strategy/ies     |
| D6                                                                                           | Draws out and relates implication(s) of dispute resolution strategy/ies |

| <b>▪ Writing focus – Language &amp; writing convention</b> |                                             |
|------------------------------------------------------------|---------------------------------------------|
| F1                                                         | Ineffective usage of business term/concept  |
| F2                                                         | Sentence structure requires greater clarity |
| F3                                                         | Handwriting quality needs improvement       |

### Question 27

Evaluate the importance of human resource strategies in resolving problems with business performance.

| Criteria                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Mark         |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|
| <ul style="list-style-type: none"><li>▪ Presents a sustained, logical and cohesive response that communicates relevant business terminology and syllabus concepts with skill and understanding</li><li>▪ Makes a sound judgment based on criteria about the importance of human resource management in resolving specific problems with business performance</li><li>▪ Integrates relevant case study/studies and contemporary business issues with skill and understanding</li></ul> | <b>17-20</b> |
| <ul style="list-style-type: none"><li>▪ Presents a logical and cohesive business report that uses relevant business terminology and syllabus concepts</li><li>▪ Provides detailed, accurate and relevant information about the importance of human resource management in resolving problems with business performance.</li><li>▪ Uses relevant case study/studies and contemporary business issues</li></ul>                                                                         | <b>13-16</b> |
| <ul style="list-style-type: none"><li>▪ Communicates using business terminology and concepts</li><li>▪ Provides characteristics and features of the importance of human resource management in resolving problems with business performance.</li><li>▪ May make some reference to case study/studies and contemporary business issues</li></ul>                                                                                                                                       | <b>9-12</b>  |
| <ul style="list-style-type: none"><li>▪ Communicates using some business terminology and concepts</li><li>▪ Sketches in general terms some aspects about human resource management and/or resolving problem(s)</li><li>▪ May make limited reference to case study/studies and contemporary business issues</li></ul>                                                                                                                                                                  | <b>5-8</b>   |
| <ul style="list-style-type: none"><li>▪ Uses basic business terminology</li><li>▪ Makes a limited statement human resources and/or problems and/or case study or business issues</li></ul>                                                                                                                                                                                                                                                                                            | <b>1-4</b>   |

**Question 27 (20 marks)**

Evaluate the importance of human resource strategies in resolving problems with business performance.

| <b>Writing focus – executive summary</b> |                                                                                                                            |
|------------------------------------------|----------------------------------------------------------------------------------------------------------------------------|
| A0                                       | Executive summary has effective title                                                                                      |
| A1                                       | Executive summary identifies its purpose(s), for whom it was written and the benefit that can be obtained from reading it  |
| A2                                       | Executive summary has explicit reference to case study/studies                                                             |
| A3                                       | Executive summary makes direct reference to each part of question (judgment/HR management/external influences)             |
| A4                                       | Executive summary reveals contents of response effectively                                                                 |
| A5                                       | Executive summary clearly identifies the argument to be sustained or the conclusion that will be justified in the response |

| <b>▪ Skill focus - case study usage</b> |                                                                              |
|-----------------------------------------|------------------------------------------------------------------------------|
| B4                                      | Makes reference to case study but without sufficient elaboration             |
| B5                                      | Applies case study to show business concepts in practise                     |
| B6                                      | Integrates case study example to sustain an argument or justify a conclusion |

| <b>▪ Skill focus – make an informed judgment</b> |                                                                |
|--------------------------------------------------|----------------------------------------------------------------|
| C4                                               | Makes a judgment with insufficient support or elaboration      |
| C5                                               | Makes a judgment that is supported with reason(s)              |
| C6                                               | Makes a relevant judgment that is supported with sound reasons |

| <b>▪ Content focus – HR strategy to resolve business performance problem</b> |                                                                                                                                                                                    |
|------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| D4                                                                           | Makes basic reference to a HR strategy                                                                                                                                             |
| D5                                                                           | Provides detailed information to show how and/or why HR strategy resolves a specific business performance problem (in general)                                                     |
| D6                                                                           | Sustains an argument and/or justifies a relevant conclusion through the elaboration of how and/or why a specific HR strategy resolves a performance problem in a specific business |

| <b>▪ Writing focus – Language &amp; writing convention</b> |                                             |
|------------------------------------------------------------|---------------------------------------------|
| F1                                                         | Ineffective usage of business term/concept  |
| F2                                                         | Sentence structure requires greater clarity |
| F3                                                         | Handwriting quality needs improvement       |